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IFSCA simplifies Bullion imports through IIBX: What the 2nd January 2026 Circular means…

The International Financial Services Centres Authority (IFSCA), vide Circular dated **2nd Jan., 2026**, has introduced **amendments to the existing framework governing the import of gold and silver through the India International Bullion Exchange (IIBX)**.

It is pertinent to note that the said circular has been issued **in response to representations received from stakeholders** and is aimed at further streamlining the bullion market ecosystem within the GIFT IFSC.

(A) Objectives of the Circular

The present circular has been issued with the objective of further refining the regulatory framework governing the import of Gold and Silver through the IIBX.

1. **Expanding Eligibility for import through IIBX**
   One of the principal objectives of the circular is to expand the category of entities eligible to import gold or silver through IIBX by permitting participation of eligible SEZ units and entities holding valid Advance Authorization issued by the DGFT (Directorate General of Foreign Trade).

2. **Relaxation and rationalization of Eligibility Criteria**
   The circular also seeks to rationalize and relax certain eligibility requirements, including qualification and net worth criteria, in order to facilitate access to the regulated bullion market.

3. **Clarification relating to import of Silver Bars**
   Another objective of the circular is to clarify that entities importing silver bars under the specified ITC (HS) Code through IIBX are not required to be notified as 'Qualified Jewelers', thereby removing regulatory ambiguity.

(B) Key Definitions

- **Qualified Jeweler**: An entity eligible for importing bullion via IIBX under IFSCA notification, meeting prescribed net worth and export turnover criteria.

- **Advance Authorization Holder**: An entity authorized by the DGFT to import inputs for export production, now allowed to transact in IIBX for the purposes specified in the authorization.

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- **Net Worth**: Aggregate value of paid-up share capital and all reserves (excluding revaluation reserves, write-back of depreciation, and amalgamation), less accumulated losses and deferred/miscellaneous expenditure.

- **ITC(HS) Codes**: Harmonized system codes defining goods, crucial for import/export verification.

- **Clause 5A Compliance**: Provision allowing IIBX to suspend a Qualified Jeweler in case of ongoing non-compliance until criteria are restored.

(C) Eligibility criteria

1. **SEZ Units**
   - Must hold a **valid Letter of Approval** and have **export of jewelry as an authorized operation.**
   - Minimum **net worth**: Rs. 5 Crore (latest audited or reviewed financial statements).
   - Minimum **annual export turnover**: Rs. 5 Crore in ITC 7113 goods over the last 3 (Three) financial years.
   - Certification of turnover and net worth must be attested by a **practicing CS, CA, or Cost Accountant**.

2. **Advance Authorization Holders**
   - Eligible to import gold/silver only for purposes specified in the authorization.
   - Transactions must be conducted through a **Bullion Trading Member** of IIBX.
   - Imports are restricted to ITC(HS) codes mentioned in the authorization.

3. **General Eligibility for all Entities**
   - Must have a valid **Importer Exporter Code (IEC)**.
   - Net worth for non-SEZ entities: INR 15 crore.
   - Continuous compliance with turnover and net worth requirements, monitored half-yearly by IIBX.

(D) Regulatory clarifications and procedural highlights

1) **Relaxed Notification Requirements**: Entities importing silver bars under ITC(HS) 71069221 no longer require notification as a Qualified Jeweler.

2) **Certification Compliance**: SEZ units and other entities must obtain attestations from practicing professionals for net worth and turnover.

3) **Ongoing Compliance Monitoring**: IIBX monitors net worth and export turnover; non-compliance leads to suspension (Clause 5A).

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4) **Direct SEZ Delivery**: Vault Managers ensure imported bullion is delivered directly to SEZ premises post-customs clearance.

5) **Notification Validity**: Qualified Jeweler status remains valid unless voluntarily denotified or suspended for six continuous months.

(E) Impact and future Opportunities

1. **Regulatory and Market impact**
   By allowing SEZ units and Advance Authorization holders to import gold and silver through IIBX, **the IFSCA has widened market access while retaining necessary safeguards** through continuous compliance and monitoring mechanisms.

From a market perspective, the amendments are expected to:

- **Enhance Liquidity on IIBX:** Expanded participation by SEZ units and exporters is likely to **increase trading volumes, deepen market liquidity**, and strengthen IIBX's position as a transparent bullion trading platform.

- **Strengthen Export competitiveness:** By aligning bullion imports with export-linked instruments such as Advance Authorizations and SEZ operations, the Circular supports value-added jewelry exports and **reinforces India's global trade commitments, particularly under the India–UAE CEPA framework.**

- **Promote formalization and Transparency:** Mandatory professional certification, half-yearly reviews, and the introduction of suspension mechanisms under Clause 5A foster disciplined participation and reduce systemic risks in bullion trade.

- **Operational Efficiency for SEZ Units:** The provision for direct delivery of bullion to SEZ premises post customs clearance reduces logistical inefficiencies, turnaround time, and compliance ambiguities.

Overall, the regulatory framework reflects a maturing bullion market ecosystem that prioritizes ease of doing business without compromising regulatory integrity.

2. **Strategic and Long-Term implications**

   - In the medium to long term, the Circular is expected to serve as a **catalyst for integrating bullion trade more closely** with India's export-oriented manufacturing and financial market infrastructure.

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- The consolidation of multiple circulars into a single regulatory framework enhances legal certainty and predictability—critical factors for long-term investment planning by SEZ units and exporters.

- Additionally, the emphasis on **continuous compliance**, rather than one-time eligibility, signals a shift towards **principle-based regulation**, where governance standards, financial discipline, and operational transparency determine sustained market participation.

(F) Way Forward

The Circular represents a **progressive regulatory approach** balancing facilitation with oversight. By expanding eligibility, clarifying compliance requirements, and streamlining procedural obligations, the IFSCA has reinforced India's bullion trading framework.

For corporate governance professionals, the Circular opens avenues for **advisory services in compliance, reporting, audit support, and strategic structuring,** underscoring the increasing relevance of legal and governance expertise within GIFT IFSC.

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